

Credit Memo - JPMorgan Chase & Co

TO: Credit Committee

FROM: Senior Credit Analyst, Commercial Banking Division

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RE: Annual Credit Review - JPMorgan Chase & Co (NYSE: JPM)

Executive Summary

This credit memorandum presents an assessment of JPMorgan Chase & Co (NYSE: JPM) for the Credit Committee's annual review of the bank's credit exposure. JPMorgan Chase is the largest bank in the United States by total assets, operating as a diversified financial services firm across consumer and community banking, corporate and investment banking, commercial banking, and asset and wealth management.

Based on our analysis of the company's financial performance from FY 2023 through Q1 2026, we recommend APPROVE WITH CONDITIONS. JPM demonstrates strong revenue growth momentum, robust profitability, and a substantial equity base. However, the rapid growth in total assets to nearly \$4.9 trillion by Q1 2026 warrants close monitoring of leverage ratios and capital adequacy metrics.

Key credit strengths include consistent top-line growth, with revenues increasing from \$158.1 billion in FY 2023 to \$182.4 billion in FY 2025, representing a cumulative increase of approximately 15.4%. Net income reached \$57.0 billion in FY 2025, and the company reported Q1 2026 net income of \$16.5 billion, indicating continued strong earnings power. Diluted EPS grew to \$20.02 for FY 2025, reflecting effective capital return to shareholders.

Primary credit concerns center on balance sheet leverage. Total liabilities of \$4.54 trillion against equity of \$364.0 billion in Q1 2026 produce a leverage ratio of approximately 12.5x, and total assets grew significantly from \$4.42 trillion at FY 2025 to \$4.90 trillion at Q1 2026 - a single-quarter increase of approximately \$475 billion. The banking sector's sensitivity to interest rate movements, credit cycle risks, and an active regulatory filing environment (multiple 424B2 filings in May 2026) also present ongoing risk considerations.

Financial Performance Analysis

JPMorgan Chase has demonstrated consistent revenue growth over the three fiscal years for which data is available. Revenues were \$158.1 billion in FY 2023, increasing to \$177.6 billion in FY 2024, and further to \$182.4 billion in FY 2025. This represents year-over-year growth of

approximately 12.3% from FY 2023 to FY 2024, and approximately 2.8% from FY 2024 to FY 2025. The cumulative growth over the two-year period was approximately 15.4%.

The acceleration in FY 2024 growth likely reflected favorable capital markets conditions and net interest income expansion in a higher-rate environment. The moderation to 2.8% growth in FY 2025 suggests some normalization, though the absolute revenue level of \$182.4 billion remains at a historical high for the firm. This trajectory indicates a mature but stable revenue base with limited downside risk in the near term.

Net income performance has been exceptionally strong. JPM reported FY 2025 net income of \$57.0 billion, a significant achievement that underscores the firm's earnings capacity and operational efficiency. The Q1 2026 net income of \$16.5 billion annualizes to approximately \$66.0 billion, which would represent a further increase of approximately 15.7% over FY 2025 levels. While quarterly results may not be indicative of full-year performance due to seasonal factors and market volatility, the Q1 2026 result is encouraging.

Diluted earnings per share reinforce the positive profitability trend. FY 2025 diluted EPS was \$20.02, while Q1 2026 diluted EPS came in at \$5.94. The Q3 2025 year-to-date diluted EPS of \$15.38, with a quarterly figure of \$5.07, demonstrates consistent quarterly earnings generation. The growth in EPS outpacing revenue growth suggests effective share buyback programs and capital management, benefiting equity holders while maintaining adequate capital buffers.

Balance Sheet and Leverage Assessment

JPMorgan Chase's balance sheet has expanded materially over the period under review. Total assets stood at \$4.42 trillion at FY 2025, growing to \$4.90 trillion as of Q1 2026 - an increase of approximately \$476 billion or 10.7% in a single quarter. This represents one of the largest quarterly asset growth figures in recent history and warrants careful analysis of the drivers behind this expansion.

Total liabilities followed a similar trajectory, rising from \$4.06 trillion at FY 2025 to \$4.54 trillion at Q1 2026. Stockholders' equity grew modestly from \$362.4 billion at FY 2025 to \$364.0 billion at Q1 2026, an increase of approximately \$1.6 billion or 0.4%. The disproportionate growth in assets and liabilities relative to equity has direct implications for the firm's leverage profile.

The leverage ratio (total liabilities divided by stockholders' equity) was 11.2x at FY 2025 (\$4.06 trillion / \$362.4 billion) and increased to 12.5x at Q1 2026 (\$4.54 trillion / \$364.0 billion). While these ratios are within the range typical for large systemically important banks, the 1.3x increase in leverage over a single quarter represents a meaningful shift that should be monitored. The Tier 1 capital ratio and supplementary leverage ratio, which are not available in the provided data, would provide additional context for regulatory capital adequacy.

Looking at the broader balance sheet trend, assets grew from \$4.19 trillion at Q2 2025 to \$4.56 trillion at Q3 2025 before declining to \$4.42 trillion at FY 2025 and then surging to \$4.90 trillion at Q1 2026. This volatility in asset levels may reflect quarter-end balance sheet management,

changes in trading assets, or shifts in deposit levels. The relationship manager should request a breakdown of asset composition to understand the quality and risk profile of the incremental assets.

Key Risk Factors

Leverage and Capital Adequacy Risk: The rapid balance sheet expansion from \$4.42 trillion to \$4.90 trillion in a single quarter increases the firm's reliance on debt financing. With total liabilities of \$4.54 trillion against equity of \$364.0 billion, a moderate deterioration in asset values could meaningfully erode capital ratios. Large banking institutions are subject to stringent capital requirements under Basel III and stress testing frameworks, but the pace of asset growth observed in Q1 2026 may outstrip the rate at which capital can be organically built.

Interest Rate and Net Interest Margin Risk: As a major commercial bank with substantial loan and deposit portfolios, JPM's earnings are sensitive to Federal Reserve policy decisions. The revenue growth moderation from 12.3% to 2.8% between the two most recent fiscal years may partially reflect the impact of rate expectations shifting. A prolonged period of elevated rates could pressure credit quality in consumer and commercial loan portfolios, while rapid rate cuts could compress net interest margins.

Credit Cycle and Asset Quality Risk: The financial data provided does not include provisions for credit losses, non-performing asset ratios, or net charge-off rates, which are critical to a complete credit assessment. However, at \$4.90 trillion in total assets, even a modest increase in credit losses - as might occur during an economic downturn - could materially impact earnings. The Q1 2026 net income of \$16.5 billion provides a meaningful cushion, but the relationship manager should request detailed asset quality metrics.

Regulatory and Systemic Risk: As the largest U.S. bank by assets, JPMorgan Chase is subject to enhanced prudential standards, including higher capital surcharges, resolution planning requirements, and stress capital buffer requirements. The multiple 424B2 filings in May 2026 indicate active capital markets activity, which may relate to securities offerings or other transactions requiring registration. Changes in regulatory requirements or supervisory actions could constrain business activities or require additional capital buffers.

Credit Recommendation

Based on the analysis presented above, we recommend **APPROVE WITH CONDITIONS** for JPMorgan Chase & Co. The firm's credit profile is supported by strong revenue growth (\$182.4 billion in FY 2025), exceptional profitability (\$57.0 billion net income), and a substantial equity base (\$364.0 billion). These strengths provide a robust buffer against potential credit losses and support the firm's ability to service its obligations.

However, the rapid balance sheet expansion and increasing leverage ratio (12.5x at Q1 2026) introduce incremental risk that warrants enhanced monitoring. We recommend the following conditions: (1) quarterly monitoring of Tier 1 capital ratio and supplementary leverage ratio to ensure compliance with regulatory minimums and internal thresholds; (2) semi-annual review of

asset quality metrics including net charge-offs, non-performing assets, and provision for credit losses; and (3) annual reassessment of the credit facility in light of any material changes to the regulatory environment or business strategy.

The recommendation reflects JPM's position as a systemically important financial institution with diversified revenue streams and demonstrated earnings resilience. The Q1 2026 diluted EPS of \$5.94 and annualized net income trajectory suggest continued strong performance. We recommend maintaining the current credit exposure with the monitoring conditions outlined above, and will revisit this recommendation should leverage ratios exceed 13.0x or if Tier 1 capital ratios fall below internal minimum thresholds.